

The Rich Report

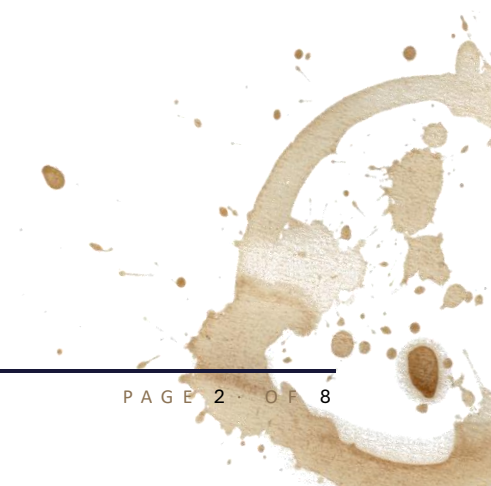
U.S. ECONOMICS NEWS

- ◆ **Rate Hike Odds:** Markets priced a 70% probability of a Fed rate hike at the September 16th meeting following a strong August jobs report — 162,000 nonfarm payrolls versus a 55,000 consensus — compounded by August CPI and PPI both rising 0.4%, marking the 65th consecutive month headline and core inflation exceeded the Fed's 2% target.³
- ◆ **Earnings Surge:** S&P 500 Q2'26 blended year-over-year earnings growth hit 52%, nearly double the 23.1% estimated at quarter-start, with net profit margins reaching a record 17%; stripping out two outliers with unusual unrealized gains, the earnings surprise rate still stood at 10.8%, above both the 5- and 10-year historical averages.³
- ◆ **Housing Struggles:** Existing home sales fell 2.0% in August to a 3.98 million annual rate — the slowest pace in over a year — as 30-year mortgage rates climbed to 6.8%, up 70 basis points since February; months' supply rose to 4.9, the highest since 2015, signaling inventory is building even as affordability remains severely constrained.³
- ◆ **PPI Details:** August producer prices rose 0.4%, with energy accounting for more than half the gain via a 4.2% monthly surge driven largely by a 24.1% spike in diesel; core PPI rose a milder 0.2%, though intermediate unprocessed goods ex-food and energy jumped 2.1%, with metal scrap and construction materials notable contributors.³
- ◆ **Real Wages:** Real average hourly earnings declined 0.1% in August and are down 0.3% year-over-year, meaning workers continue losing ground to inflation despite nominal wage growth of 3.1% annually — a pace already below what economists would consider problematic for the Fed, yet insufficient to offset a CPI running at 3.4%.³
- ◆ **Profit-Valuation Link:** The S&P 500's trailing P/E ratio reached 25.51 in Q2'26 alongside a record gross profit margin of 18.2%, continuing a multi-decade positive correlation between the two metrics; substituting forward earnings estimates reduces the P/E to 19.5, below the 5-year average of 19.8, suggesting valuations are less stretched than trailing figures imply.³
- ◆ **Fund Flows:** Domestic equity mutual funds saw \$18.3 billion in outflows for the week ended August 26th, reversing the prior week's \$8.7 billion in inflows, while taxable bond funds attracted \$11.0 billion and money market funds absorbed a combined \$44.8 billion — consistent with investor caution amid rising rate expectations.³
- ◆ **Foreign Treasuries:** Foreign holdings of U.S. Treasuries totaled \$9.30 trillion in June 2026, up 2.3% year-over-year despite China reducing its holdings by more than 13% annually to \$630 billion — their lowest since September 2008 — with Japan (\$1.12T) and the U.K. (\$940B) absorbing much of China's reduction.³

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DIGITAL ASSETS NEWS

- ◆ **Clarity Act Showdown:** The Senate holds its cloture vote on the Clarity Act on September 15. Republicans released a revised 630-page text on September 10 targeting “decentralized-in-name-only” protocols, and President Trump agreed to expanded conflict-of-interest rules and state-level enforcement powers to secure key Senate votes.⁵
- ◆ **Bitcoin Bucks Selloff:** Bitcoin climbed to \$78,000 while Nasdaq 100 futures fell 1.65% on calls to slow AI development, and crude gained almost 4% on a Saudi pipeline closure — a rare week where crypto outperformed tech.⁵
- ◆ **ETF Demand Wobbles:** August was the strongest month of 2026 for bitcoin ETFs by a wide margin, with roughly \$3.52 billion in net inflows, yet September opened with the largest daily outflow since July 31. Ethereum, Solana and XRP funds still closed with net inflows despite \$236 million leaving bitcoin ETFs.⁵



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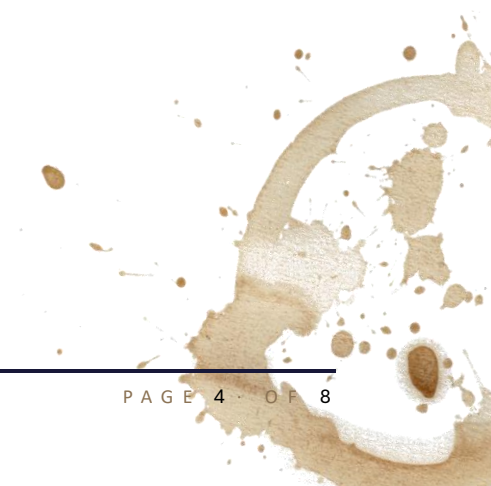
GEOPOLITICS NEWS

- ◆ **Canada:** The U.S. banned Canadian alcohol, motorcycle and dairy imports effective September 29 after Canada's retaliatory tariffs took effect, casting doubt on USMCA's viability; Prime Minister Carney responded by pursuing a "unique alliance" with the European Union and signing a 100-year partnership with Ukraine that commits a third of Canada's planned drone production to Kyiv.¹
- ◆ **China:** Beijing is arranging a bilateral meeting between Xi Jinping and Narendra Modi as Xi travels to India for a BRICS summit, while lodging "solemn representations" with Italy and the EU after Taiwan's vice president and foreign minister attended a European democracy conference.¹
- ◆ **Eurozone:** The European Central Bank raised its key rate a quarter point to 2.5%, the highest in more than a year and its second hike since the Iran war began, as Brent crude climbed back above \$100 and European natural gas prices remain more than double pre-war levels; the bank now sees inflation staying above 2% through 2028.¹
- ◆ **Iran:** Iran attacked 10 ships near the Strait of Hormuz after the U.S. sank five Iranian oil tankers — the biggest wave of tit-for-tat shipping attacks since the war began — and fired ballistic missiles at a U.S. base in Jordan, pushing Brent briefly toward \$110; a planned Gulf-Iran meeting in Oman was postponed indefinitely, and U.S. diesel hit a record \$6 per gallon.¹
- ◆ **Israel:** The United Kingdom, acting alongside France and Canada, banned imports from West Bank settlements and sanctioned settlers and companies tied to settlement expansion; Israel retaliated by ordering Britain's East Jerusalem consulate closed within 30 days.¹
- ◆ **Russia:** Ukraine struck Arctic gas condensate facilities more than 3,000 kilometers inside Russia, its deepest attack of the war, as Russia's August crude output fell 160,000 barrels a day to 8.72 million.¹
- ◆ **Saudi Arabia:** Iran-backed Houthis attacked four southern Saudi cities, wounding 73 and setting oil facilities ablaze, then seized the port of Mocha and Perim Island at the Bab el-Mandeb Strait — a second chokepoint now under Iranian-proxy pressure; drone strikes from Iraq also forced the temporary closure of the 7 million barrel-per-day East-West pipeline Riyadh has relied on to bypass Hormuz.¹
- ◆ **South Korea:** Seoul is close to announcing a U.S. energy investment package worth more than \$100 billion — financing up to eight nuclear power plants and a natural gas project to support America's AI build-out — the first major project under last year's trade deal that lowered U.S. tariffs on Korean goods from 25% to 15% in exchange for \$350 billion in pledged investment.¹

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THE GOOD NEWS

- ◆ **Navier-Stokes Breakthrough:** An internal OpenAI model produced a proof, formalized in the Lean theorem prover, that solutions to the Navier-Stokes equations governing fluid motion can develop a singularity in finite time — resolving a question that stood unanswered for roughly 90 years and ranks among the seven Millennium Prize Problems at the frontier of mathematics.²
- ◆ **Health Workforce:** The global health workforce reached 122.1 million in 2023 — up 81.2 million, or 198.5%, since 1990 — including 15.1 million doctors, 33.2 million nurses, 2.4 million midwives and 7.6 million community health workers, with the expansion driven mainly by a surge in female health workers across 204 countries and territories.²
- ◆ **Record Oil Output:** U.S. crude oil production is forecast to average 13.8 million barrels per day in 2026, surpassing the 13.7 million record set in 2025, after first-half output ran 2% ahead of the same period last year; most of the growth is concentrated in the Permian Basin of Texas and New Mexico and the federal Gulf of America.²
- ◆ **AI Job Creation:** Employment in five industries at the heart of the data-center build-out has risen by roughly 320,000 more than broader construction and manufacturing trends would suggest since 2023, and roughly 1% of U.S. professional jobs — about 1 million positions — now exist only because of AI; even occupations once considered most vulnerable are benefiting, with paralegal employment up about 11% and market-research analysts up 6% between 2023 and 2025 against a national average near 2%.²



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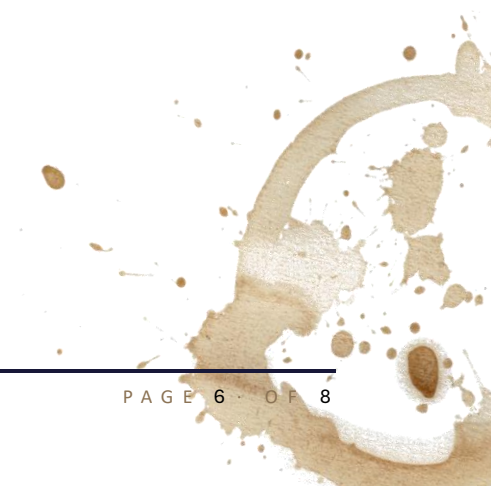
DIVIDEND PORTFOLIO NEWS

- ◆ **ABT:** Abbott received FDA approval for an advanced cardiac ablation catheter, extending its electrophysiology franchise.⁴
- ◆ **ADI:** Analog Devices agreed to acquire Alif Semiconductor for \$1.35 billion in cash, adding low-power edge-AI microcontroller capability in one of the week's most notable deals; shares were caught in Monday's chip selloff after several tech CEOs publicly urged a slower pace of AI development.⁴
- ◆ **CEG:** Shell agreed to buy one U.S. power plant and sell its stake in another to Constellation in a \$715 million deal, while reports that South Korea is nearing a \$100 billion-plus U.S. energy investment, including up to eight nuclear plants.⁴
- ◆ **GD:** General Dynamics won a \$184 million Navy contract for Next Generation Enterprise Acoustics Unit production, adding to their defense backlog.⁴
- ◆ **LMT:** Lockheed Martin secured an \$826 million Air Force missile contract boost that lifts the program's value above \$10 billion, a \$257 million heavyweight torpedo modification and a \$729 million missile system sale to Sweden, while awarding L3Harris a \$4.7 billion PAC-3 MSE propulsion contract.⁴
- ◆ **NEE:** NextEra secured up to \$1.9 billion in Department of Energy loans to restart the Duane Arnold nuclear center in Iowa, and together with Dominion proposed a Virginia benefits package designed to win regulatory support for their pending merger.⁴
- ◆ **QCOM:** Qualcomm jumped after teaming with Amazon on a next-generation AI data center deal.⁴
- ◆ **SPGI:** S&P Global led a strategic investment in crypto and digital asset data provider Kaiko as the 24/7 trading concept gains traction, though financial data providers traded lower Thursday after OpenAI launched a ChatGPT product aimed squarely at financial services workflows.⁴
- ◆ **SYK:** Stryker shares dropped after management comments on softer trends in its vascular and orthopedics segments, landing the company among the week's notable healthcare headlines.⁴

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GROWTH PORTFOLIO NEWS

- ◆ **CVX:** Chevron plans to double its oil rig count in Venezuela as part of a \$7 billion five-year investment, its CFO said, as Brent crude cleared \$100 amid Middle East escalation.⁴
- ◆ **FCX:** Copper hit a fresh record high on tariff fears and tight supply before copper stocks slumped when the White House tariff plan reportedly stalled.⁴
- ◆ **FTNT:** Cybersecurity stocks led higher Monday as AI worries weighed on the broader tech tape; Nvidia's Jensen Huang separately called cybersecurity the next leg of AI demand.⁴
- ◆ **HOOD:** Robinhood scored its first IPO underwriting role on Oura and struck a Crypto.com deal to expand prediction markets.⁴
- ◆ **NVDA:** Jensen Huang said he is "confident" in 70% growth and sees cybersecurity as AI's next leg, while Nvidia expanded its open-source CUDA-Q quantum platform, teamed with Palantir on sovereign AI deployment, and is reportedly a potential investor in an Anthropic IPO; offsetting headlines include Monday's selloff after tech CEOs urged a slower AI pace, which President Trump rejected citing the race with China.⁴
- ◆ **PGY:** Pagaya Technologies, new to the portfolio, closed an upsized \$900 million AAA-rated personal loan securitization — its largest since 2022, lifting 2026 ABS issuance to a record \$7.5 billion; Pagaya posted a record \$45 million profit last quarter and raised full-year guidance.⁴
- ◆ **VST:** Vistra priced \$1.5 billion of junior subordinated notes, while reports of a \$100 billion-plus South Korean U.S. energy investment underscore power demand from the AI build-out.⁴



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SUMMARY

In regard to the United States Economy, markets are pricing roughly a 70% chance of a Fed rate hike this Wednesday after August payrolls surprised at 162,000 against a 55,000 consensus and both CPI and PPI rose 0.4%, the 65th straight month inflation has run above target. Diesel's 24% spike drove producer prices, and real wages slipped again. Yet second-quarter earnings growth hit 52% with record 17% net margins, and forward valuations sit near five-year averages.

In the world of digital assets, the Senate's September 15 cloture vote on the Clarity Act arrives with no clear outcome after Republicans released a revised 630-page text and the White House accepted stricter ethics rules. Bitcoin held near \$78,000 while AI-related tech shares sold off, though September opened with ETF outflows after August's \$3.5 billion of inflows, and corporate ether treasuries kept accumulating.

Recently around the globe, the Middle East war widened as Houthi forces struck four Saudi cities, captured the port of Mocha and Perim Island at the Bab el-Mandeb chokepoint, and drone attacks temporarily shut Saudi Arabia's East-West pipeline. Iran and the U.S. traded the largest wave of shipping attacks since the war began, sending Brent above \$100. The ECB hiked to 2.5%, Germany's AfD won 44% in a state election, and Ukraine struck Arctic gas facilities deep inside Russia.

For the good news, an AI system produced a proof for the 90-year-old Navier-Stokes problem, one of the Millennium Prize challenges. Five randomized trials found \$11 of text messages and tutoring calls per child delivered the equivalent of 3.6 years of schooling per \$100 spent. The global health workforce has nearly tripled since 1990, U.S. crude output is on pace for a record 13.8 million barrels a day, and AI-linked industries have added roughly 320,000 jobs beyond trend.

In the news for the dividend portfolio, Lockheed Martin stacked up an \$826 million Air Force missile award, a \$729 million Swedish deal and a UBS upgrade. Qualcomm jumped on a next-generation AI data center partnership with Amazon, Analog Devices agreed to buy Alif Semiconductor for \$1.35 billion, and NextEra secured up to \$1.9 billion in federal loans to restart the Duane Arnold nuclear plant. Abbott won FDA approval for a new cardiac ablation catheter.

And, for the growth portfolio, Pagaya Technologies joins the roster after closing a \$900 million AAA-rated securitization and earning a fresh Buy rating. Nvidia's Jensen Huang reaffirmed confidence in 70% growth even as calls to slow AI development pressured chip stocks, TSMC's August revenue rose 53%, Chevron will double its Venezuelan rig count, and Robinhood drew a Buy initiation ahead of the Clarity Act vote.

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RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
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